

real estate matters—the quality of its leases, for instance—is of great significance. In many other lines of business, a high degree of skill in this field is less important. Similarly, the relative skill with which a company handles its credits is of great significance to some companies, of minor or no importance to others. For both these matters, our old friend the “scuttlebutt” method will usually furnish the investor with a pretty clear picture. Frequently his conclusions can be checked against mathematical ratios such as comparative leasing costs per dollar of sales, or ratio of credit loss, if the point is of sufficient importance to warrant careful study.

In a number of lines of business, total insurance costs mount to an important per cent of the sales dollar. At times this can matter enough so that a company with, say, a 35 per cent lower overall insurance cost than a competitor of the same size will have a broader margin of profit. In those industries where insurance is a big enough factor to affect earnings, a study of these ratios and a discussion of them with informed insurance people can be unusually rewarding to the investor. It gives a supplemental but indicative check as to how outstanding a particular management may be. This is because these lower insurance costs do not come solely from a greater skill in handling insurance in the same way, for example, as skill in handling real estate results in lower than average leasing costs. Rather they are largely the reflection of over-all skill in handling people, inventory, and fixed property so as to reduce the over-all amount of accident, damage, and waste and thereby make these lower costs possible. An index of insurance costs in relation to the coverage obtained points out clearly which companies in a given field are well run.

Patents are another matter having varying significance from company to company. For large companies, a strong patent position is usually a point of additional rather than basic strength. It usually blocks off certain subdivisions of the company's activities from the intense competition that might otherwise prevail. This normally enables these segments of the company's product lines to enjoy wider profit margins than would otherwise occur. This in turn tends to broaden the average of the entire line. Similarly, strong patent positions may at times give a company exclusive rights to the easiest or cheapest way of making a particular product. Competitors must go a longer way round to get to the same place, thereby giving the patent owner a tangible competitive advantage although frequently a small one.